MnAnalyse
Case Analysis Competition

MnAnalyse 25

AIR INDIA X VISTARA

Team vaibhavisomra

Manit Mehta | Ishan Boral | Vaibhavi Somra | Shubham Chandrakar

OVERVIEW

In November 2024, Tata Group announced the merger of Air India and Vistara to create a single, unified full service carrier under the Air India brand.
Vistara, a joint venture between Tata Sons (51%) and Singapore Airlines (49%), will be fully integrated into Air India, under the terms:

1. Singapore Airlines (SIA) will receive a 25.1% equity stake in the merged Air India
   SIA will invest approximately USD 250 million over the next two years
2. Tata Sons will retain 74.9% ownership and management control

This transaction consolidates Tata's full service airline operations into one flagship carrier

एअर इंडिया
AIR INDIA

A TATA SIA JV
vistara®

THE STRATEGY

Air India x Vistara : One Brand, One Vision, Global Reach

1. Market Leadership and Scale
    - The combined entity instantly becomes India's largest international carrier and the second-largest domestic airline, with a competitive scale advantage over rivals like IndiGo and SpiceJet
    - Merging unlocks valuable take off and landing slots at capacity constrained hubs (Delhi, Mumbai, Heathrow), improving connectivity and frequency.
    - Air India's established long-haul network and Vistara's strong domestic and regional coverage create a more comprehensive route map.

2. Brand Revitalization and Customer Trust
    - Air India carries decades of global recall and government association but has suffered reputation erosion. Vistara, in contrast, built a premium service perception. The merger aims to fuse Air India's heritage with Vistara's quality standards.
    - The merger is an opportunity to redefine the full service value proposition in India, addressing longstanding service gaps.

3. Operational and Cost Synergies
    - Streamlining aircraft types (primarily Airbus A320 family and Boeing widebodies) reduces maintenance, training, and leasing costs.
    - Consolidation of backend functions (IT systems, call centers, procurement) and harmonized operational processes drives efficiency.
    - Rationalizing overlapping functions and roles lowers fixed costs while upskilling talent for global competitiveness.

4. Financial Turnaround

- Economies of Scale: Larger scale enables better bargaining power with suppliers, airports, and lessors.
- Revenue Synergies: Cross selling across customer bases, higher premium cabin yields, and expanded cargo services.
- Cash Burn Reduction: Streamlined operations and higher asset utilization accelerate the path to profitability.

5. Strategic Alignment with Tata Group Vision

- Integrated Aviation Portfolio: Tata Group is unifying its aviation investments (Air India, Vistara, AirAsia India, Air India Express) into a cohesive full service and low cost platform.
- Global Competitiveness: The merger positions Air India to compete with Emirates, Qatar Airways, and Singapore Airlines for international traffic flows via India.
- Long-Term National Carrier Revitalization: Supports the government's objective of a globally competitive, privatized flag carrier.

6. Partnership and Capital Infusion from Singapore Airlines

- Operational Expertise: SIA brings decades of experience in premium airline management.
- Equity Participation: SIA retains a 25.1% stake post-merger, demonstrating confidence and shared long-term commitment.
- Customer Proposition: Leveraging SIA know-how to upgrade service standards.

7. Macro and Regulatory Alignment

- Rising Demand: India is projected to be the third-largest aviation market by 2030.
- Policy Tailwinds: Government support for aviation infrastructure expansion and privatization initiatives.
- Regulatory Clearance: Competition Commission of India and other regulators endorsed the merger in alignment with national interest.

STAKEHOLDERS

Stakeholder Power–Interest Grid

High Power / High Interest (Manage Closely)

- Tata Sons : Driving the integration strategy, responsible for profitability, brand positioning
- Singapore Airlines – 25.1% equity partner, provides capital, expertise, and has strong brand concerns.
- Regulators (DGCA, CCI) – Can approve or delay integration steps, critical to compliance and safety.

High Power / Low Interest (Keep Satisfied)

- Airport Operators – Control slot allocation and operational capacity, need to be engaged on infrastructure use.
- Suppliers & Lessors – Significant commercial relationships but less involved in daily strategic decisions
- Travel Agents & Distribution Partners – Moderate influence on sales channels but not central to strategy.

Low Power / High Interest (Keep Informed)

- Employees – Highly affected by integration, need clarity on roles, pay harmonization
- Passengers – Care deeply about service, loyalty program, and reliability.
- Unions & Labor Bodies – Advocate for employee rights, can influence morale and operations.

Low Power / Low Interest (Monitor)

- Competitors (IndiGo, Gulf carriers) – Will react but have no say in merger execution.
- Media – Influences public perception but indirect in decision-making.
- Industry Analysts – Opinion leaders but no operational power.

WHAT THE NEW AIR INDIA WILL LOOK LIKE

1. Market Leadership in the New Era

- Largest international network among Indian carriers; second-largest domestic share.
- Strategic hubs in Delhi and Mumbai positioned as global transit gateways.

2. A Distinct Competitive Identity

- The only Indian airline combining scale, network depth, and premium consistency.
- Clear positioning against Gulf majors and Southeast Asian network carriers.

3. Brand Reimagination

- Heritage rich Air India brand elevated to global premium standards.
- Maharaja refreshed as a symbol of Indian hospitality with a modern edge.

4. Customer-Centric Transformation

- Standardized product quality across all aircraft.
- Integrated digital journey from booking to arrival.
- Maharaja Club loyalty program with elite benefits and global partnerships.

5. Fleet & Infrastructure Modernization

- 200+ aircraft at integration, expanding to 600+ through one of the world's largest order books.
- Next-generation, fuel efficient aircraft with cutting edge cabin design.

6. Financially Fit for Growth

- Break even targeted in 24–36 months.
- Sustainable margins driven by synergy capture, higher yields, and operational discipline.

SYNERGY REALISATION

Revenue Synergies:

1. **Network Synergy:**

- Better flight frequency: Multiple daily connectionswill improve convenience for passengers, leading to higher Passenger Load Factor (PLF)
- **Route coverage:** Post-merger will cover and connect main Indian cities to top global hubs .
- **Market share gain:** Ability to compete with Indigo domestically and Emirates/Qatar Airways internationally by offering integrated domestic + international journeys.

2. **Premium Product Boost**:

- **Vistara's service quality**: Integrating their standards into Air India's fleet upgrades the overall brand perception.
- **Corporate contracts**: Many global firms have travel policies favoring airlines with premium offerings.

3. **Loyalty Program Unification**:

- **Partnership offers**: Unified program allows tie-ups with hotels, credit cards, and retail brands creating indirect revenue streams through co-branding and point sales.
- **Increased customer stickiness**: A traveler flying from Jaipur to London can book the entire trip under one loyalty program and maximize benefits.

4. **Better Global Alliance:**

- **Improved feeder traffic**: Passengers from partner airlines (e.g., Lufthansa, United, ANA) can connect through India on Air India/Vistara flights.
- **Stronger negotiating power**: Increases share of interline revenue from partner carriers.

COST SYNERGIES

1.Fleet & Route Optimization – Remove overlapping routes, deploy aircraft more efficiently, increase utilization rates.

2. **Joint Procurement** – Bulk purchase of fuel, catering, and aircraft parts for better supplier discounts

3. **Shared Maintenance** – Centralized MRO facilities and combined engineering teams reduce duplication.

4. **Unified IT Systems** – Single reservation and loyalty program platform lowers tech costs.

5 .**Administrative Overhead Cuts** – One HR, finance, and marketing function instead of two.

6. **Crew Optimisation**:
   - Cross-train cabin crew and pilots to operate across both fleets (where aircraft type permits).
   - Reduce training duplication by using a unified training academy and simulators.

7. **Vendor Contract Harmonization:**
   - Consolidate contracts for insurance, cleaning services, uniforms, and inflight entertainment.
   - Negotiate better terms with fewer, larger suppliers.

   Marketing & Branding Efficiencies:
   - Unified advertising campaigns instead of two separate ones.
   - Shared PR teams and sponsorship deals.

8.**Standardized Fleet Types**:
   - Gradually move towards fewer aircraft models → reduces maintenance complexity, spare parts inventory, and pilot training variations

VALUATION

	Cash flow from operations(Cr)	CAPEX(cr)	Free cash flow(Cr)
FY 19 -20	5397	2248	3149
FY 20- 21	1449	1167	282
FY 21-22	-7534	1106	-8640
FY 22- 23	1591	4893	-3302
FY 23 -24	3418	24439	-21021

The negative free cash flows in FY21–22 and FY23–24 stem from two distinct but extraordinary phases. FY21–22 was hit by the second wave of COVID-19, which severely curtailed passenger demand, while high fixed costs and elevated fuel prices eroded margins and Tata Group's January 2022 takeover brought one-time costs for advisory, restructuring, provisioning, and early integration

FY23–24 is the post merger Investment push ,significant planned outflows for fleet expansion, cabin upgrades, and digital transformation under Vihaan.AI, plus ongoing Air India–Vistara integration. This was a one off strategic investment year, and its negative FCF is excluded from DCF projections to prevent distortion, focusing instead on normalized, sustainable cash flows going forward.

Pre merger valuation was derived by projecting Air India's standalone free cash flows up to the merger date using FY22 and earlier data, discounting them to present value to reflect its intrinsic worth as an independent entity

FY 24-25 data was not available

	FCF(Cr)	PV OF FCF(Cr)
FY25–26	1,080	964.28
FY26–27	1,166	929.6
FY27–28	1,259	896.5
FY28–29	1,359	863.5
FY29–30	1,468	832.5

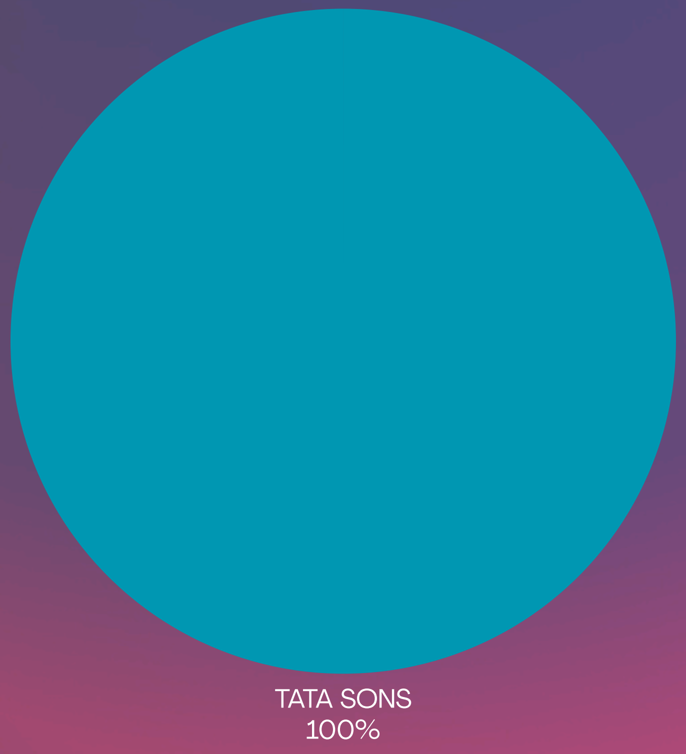
We derived the starting FCF for FY 24-25 of ₹1,000 cr for the pre merger case by adjusting FY22 operating cash flows for maintenance capex and excluding one time merger related outflows to reflect normalized standalone performance, then projected it at an **8% annual growth rate, discounted at a 12% WACC, with a 3.5% terminal growth rate**

The net present value of Free cash flows is ₹4486.38 Cr

$$\text{Terminal Value} = \frac{1,468 \times (1+0.035)}{0.12-0.035} = ₹17,874.9\ \text{Cr}$$

$$\text{Net present value of Terminal Value} = \frac{17,874.9}{(1.12)^5} = ₹10,143\ \text{Cr}$$

Enterprise Value = <u>₹14,629.38 Cr</u>



	CFO(Cr)	CAPEX(Cr)	FCF(Cr)
FY 19 20	5397	2248	3149
FY 20 21	1449	1167	282
FY 21 22	-7534	1106	-8640
FY 22 23	1591	4893	-3302
FY 23 24	3418	2500	918

We derived the normalized starting FCF of **₹1028cr** for the post merger case by adjusting FY23–24 operating cash flows for a maintenance-level capex of **₹2,500 cr**, in line with historical capex levels, thereby excluding the one off surge in fleet expansion and integration spend

FCF from FY 23-24 was grown at rate of 12% to get FY25-26 data

For the post merger case, normalized FCF was projected at a **10% annual growth rate**, discounted at a **10% WACC**, with a **4% terminal growth rate** to capture synergy driven expansion and improved operational efficiency

	FCF (Cr)	PV FCF (Cr)
FY 25 26	1028.16	934.6909
FY 26 27	1130.9	951.6
FY 27 28	1244	934.33
FY 28 29	1368.48	917.28
FY 29 30	1505.32	900.7

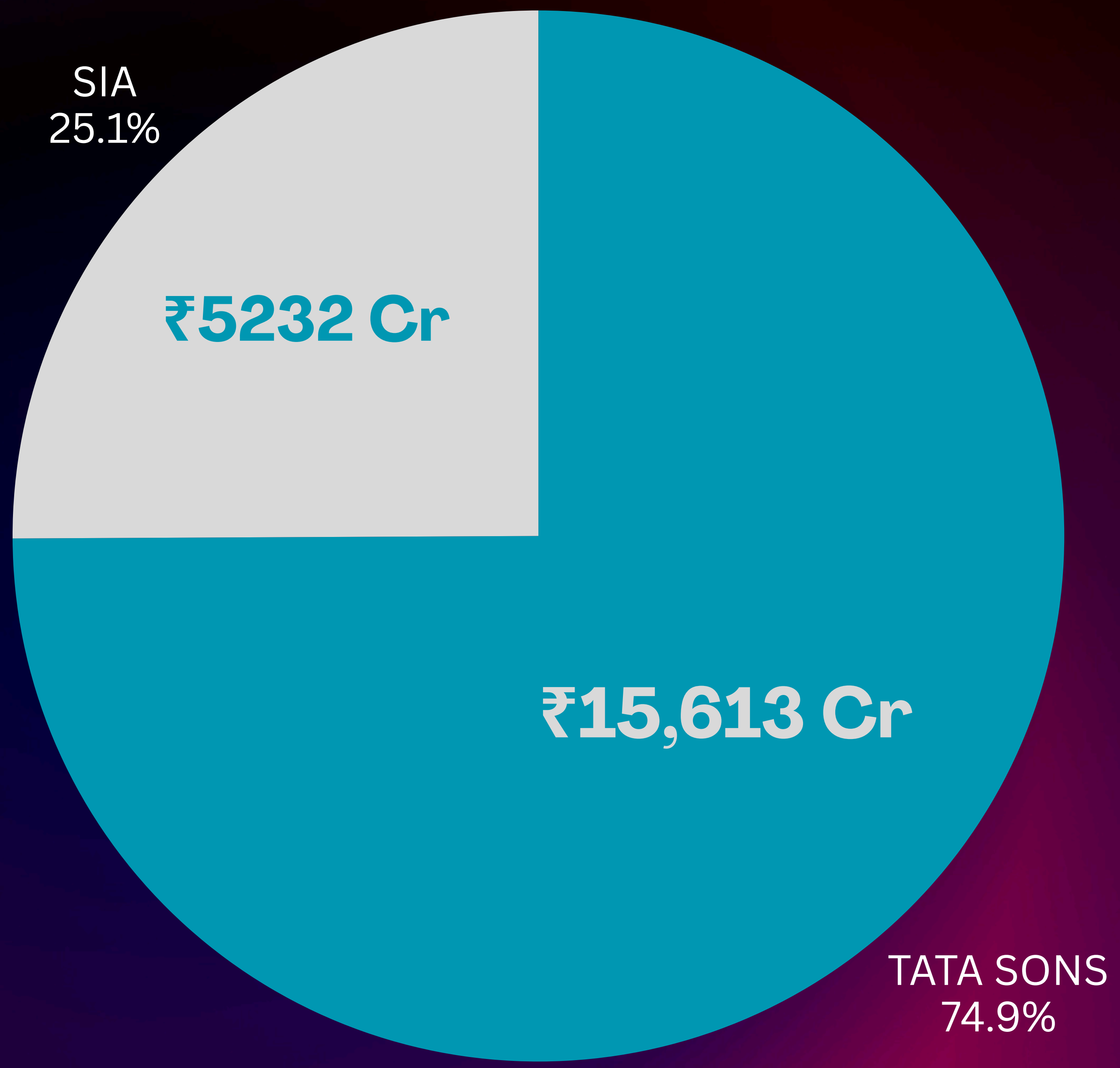
The net present value of Free cash flows is ₹4638.6 Cr

Terminal Value = ₹26,092.2 Cr
Present value of TV = ₹16,206.3 Cr

<u>ENTERPRISE VALUE POST MERGER = ₹20845 Cr</u>

Net Present Value of synergies = ₹6200 Cr

<u>SIA's stake</u> is valued at about <u>₹5,232 Cr</u> based on the post merger valuation.



INTEGRATION RISKS

Operational Risks

- **Fleet Integration:** Harmonizing aircraft types, maintenance schedules, and spare parts logistics.
- **Route Network Overlap:** Avoiding cannibalization while optimizing connectivity.
- **Service Standard Alignment:** Unifying in flight service quality and SOPs across staff.
- **IT & Systems Integration:** Migrating to unified reservation, loyalty, and operations systems without service disruption.

Cultural Risks

- **Workforce Alignment:** Reconciling pay scales, union agreements, and work cultures.
- **Brand Identity Transition:** Balancing Air India's heritage with Vistara's premium positioning.
- **Management Structure:** Preventing duplication and turf conflicts.

Regulatory Risks

- Compliance with DGCA and global aviation safety standards during transition.
- Approvals for international route rights and code sharing agreements.
- **Foreign Ownership & Control Limits** – Navigating India's FDI rules in aviation and ensuring that Singapore Airlines' 25.1% stake in the merged entity complies with foreign ownership caps while maintaining effective management control under Indian regulations.

Market & Competitive Risks

- **Customer Attrition:** Risk of losing Vistara loyalists if brand promise changes.
- **Competitor Response:** Aggressive pricing and marketing by IndiGo, Emirates, Qatar Airways.
- **Economic Factors:** Fuel price volatility and forex fluctuations impacting cost synergies.

IMPACT ON CUSTOMERS

Positive Impacts

- **Enhanced Network & Reach** – Wider domestic and international route map under one booking system.
- **Better Schedule Flexibility** – More flight frequency options and improved connectivity for multi-leg trips.
- **Loyalty Program Boost** – Greater earning and redemption opportunities with more partners and alliance tie-ups.
- **Premium Service Integration** – Combined strengths of Vistara's premium service and Air India's global network.
- **Improved Lounge Access** – Expanded lounge network in domestic and international airports.
- **Unified Customer Support** – Single contact point for reservations, complaints, and service requests.
- **Fleet Modernization** – Introduction of upgraded aircraft cabins, IFE, and comfort amenities.
- **Global Alliance Benefits** – Likely integration with larger airline alliances, giving better global perks.

Negative Impacts

- **Loss of Familiar Service Style** – Some passengers preferred Vistara's "boutique premium" vibe, which may feel diluted in a larger, standardized brand.
- **Inconsistent Cabin Quality** – During the transition, older Air India aircraft may not match the comfort of Vistara's newer fleet.
- **Benefit Downgrades** – Loss of certain perks (e.g., guaranteed upgrades, free seat selection) previously enjoyed in Club Vistara.
- **Elite Tier Congestion** – More members qualifying for higher tiers means more competition for upgrades and lounge access.
- **IT Migration Glitches** – Booking errors, seat assignment issues, or payment failures during early system integration.
- **Longer Customer Service Wait Times** – With a larger combined customer base, call centers and service desks may become more congested, leading to slower issue resolution.

ROADMAP

Phase 1
Immediate Transitions

Customer Expectations:
- Clarity on flight schedules, loyalty point conversion, and service continuity.
- Assurance that premium service levels will be maintained or improved.

Company Goals:
- Publicly communicate integration plan & benefits.
- Tier-matching & point conversion for Club Vistara → Maharaja Club.
- Integrate basic back-end systems (reservation, check-in).

Phase 2
Brand & Service Alignment

Customer Expectations:
- Seamless experience across all flights, regardless of origin brand.
- Unified loyalty ecosystem with new perks.
- Consistent service standards in lounges, in-flight meals, and crew interactions.

Company Goals:
- Launch unified Air India premium brand identity.
- Align crew training, service manuals, and SOPs.
- Optimize route network to minimize redundancies.

Phase 3
Enhanced Value Creation

Customer Expectations:
- Better connectivity with expanded domestic & international routes.
- More ways to earn & redeem points via retail, hotel, and global airline partners.
- Upgraded aircraft cabins and modernized digital experience (apps, IFE).

Company Goals:
- Finalize IT systems migration to a single PSS (Passenger Service System).
- Expand global codeshares & alliances to increase reach.

Phase 4
Market Leadership & Innovation

Customer Expectations:
- World-class airline experience comparable to global carriers.
- Innovative loyalty program with personalized offers and dynamic rewards.

Company Goals:
- Position Air India as India's premium full-service leader in Asia & global markets.
- Grow international market share vs Emirates, Qatar, Singapore Airlines.
- Use data analytics to drive personalization and yield management.

SWOT ANALYSIS

S

- Cost & Operational Synergies The unified airline is projected to save over ₹500 crore annually, through streamlined operations—covering areas like fuel, lounges, ground infrastructure, and catering
- Enhanced Market Position & Network The merger creates a significantly stronger player in both domestic and international markets.
- Capital Infusion Tata Sons and Singapore Airlines have injected Rs 9,558 crore into Air India during FY2024-25, reinforcing financial stability and growth capacity post-merger.
- One-Time Profit Boost for SIA Singapore Airlines (SIA), formerly a 49% owner of Vistara, realized a one-off gain , significantly boosting its net profit.

O

- Fleet Modernization & Customer Experience The merger combines Vistara's newer, more efficient fleet with Air India's global reach. The unified airline can upgrade cabins, IFE, seating, and service reliability.
- Expanded Loyalty Rewards & Network Integration of loyalty programs opens broader redemption possibilities, smoother bookings, and improved frequent flyer value.
- Career & Workforce Development The merger is creating specialized roles in route planning, logistics, AI-driven customer experience, compliance, and technical operations.
- Stronger Industry Consolidation & Competition Leverage A more consolidated aviation landscape positions the merged entity to negotiate better deals, potentially lower fares, and stimulate broader industry innovation.

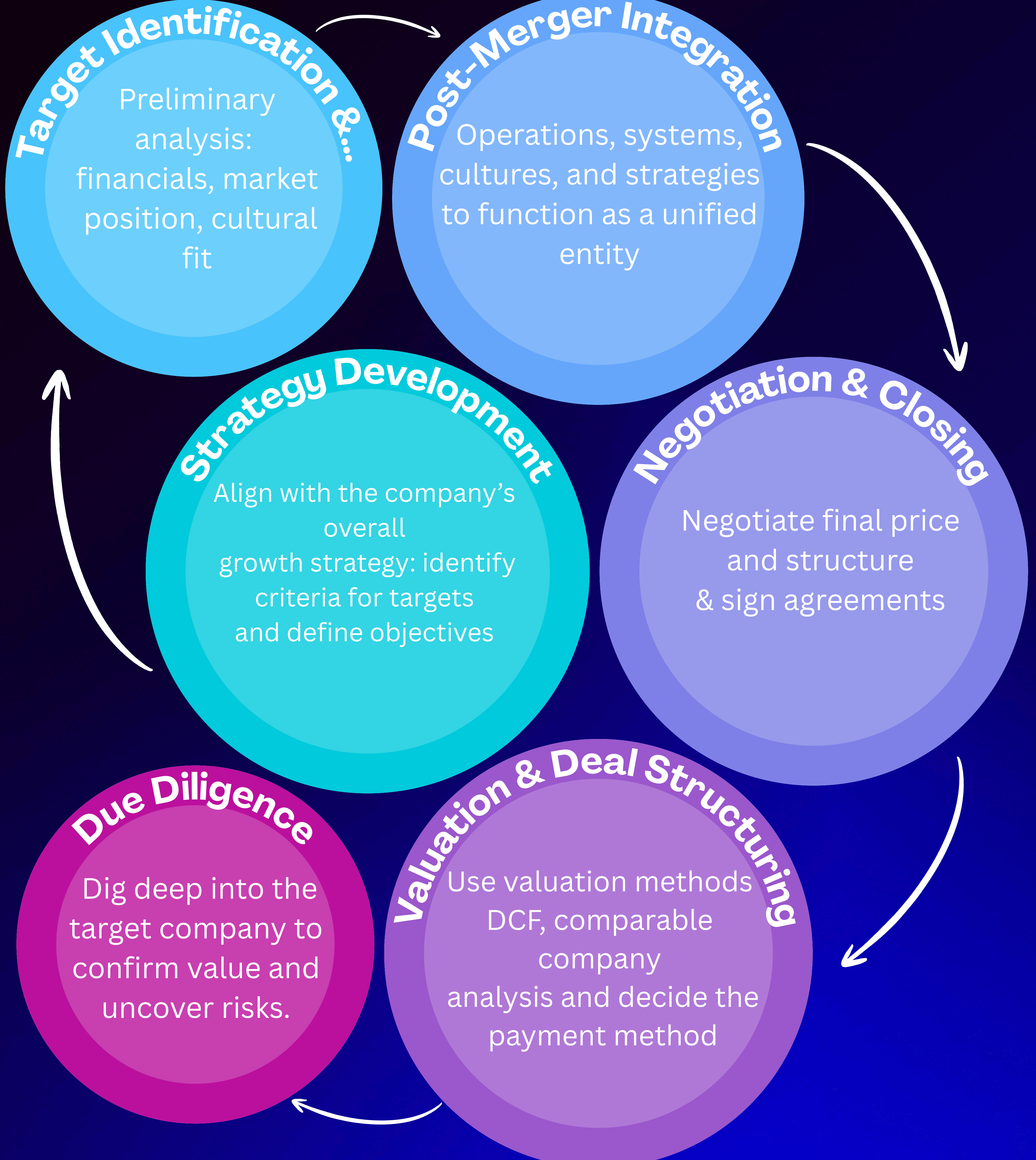
W

- Integration & Cultural Challenges Aligning two distinct organizational cultures, employee structures, and service traditions poses a major hurdle. Experts warn of misfit in service quality. • Service Degradation Reports
- Reduced baggage allowance and higher redemption costs. ◦ Booking confusion, delayed baggage handling, and front-office mishaps.
- Boarding disorganization, staff fatigue, longer delays, and ground mismanagement.
- Cabin changes and unhygienic conditions on rebooked aircraft.
- Vistara's Historical Financial Losses Vistara had not been consistently profitable—reporting substantial losses (around USD 400 million in 2023

T

- Duopoly and Reduced Competition As market shares consolidate , there's a rising risk of duopoly, potentially leading to fare hikes and diminished consumer choice.
- Infrastructure Constraints Indian airport congestion and fragmented terminal setups could hamper hub efficiencies and passenger experience improvements.
- Brand Dilution & Customer Trust Erosion Losing the distinct Vistara identity may alienate loyal customers. Operational Disruptions & Morale Issues Documented service breakdowns point to initial coordination failures. Persistent issues may impact employee morale, customer satisfaction, and brand reputation.

M&A CYCLE


Strategy Development
Align with the company's overall growth strategy: identify criteria for targets and define objectives
Target Identification &...
Preliminary analysis: financials, market position, cultural fit
Post-Merger Integration
Operations, systems, cultures, and strategies to function as a unified entity
Negotiation & Closing
Negotiate final price and structure & sign agreements
Valuation & Deal Structuring
Use valuation methods DCF, comparable company analysis and decide the payment method
Due Diligence
Dig deep into the target company to confirm value and uncover risks.

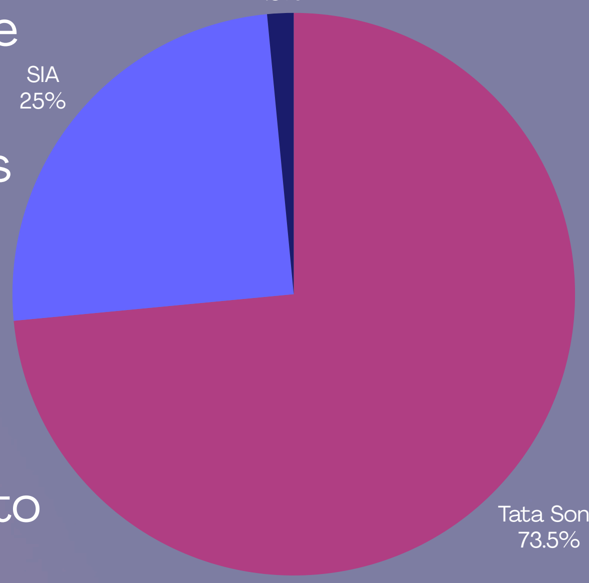
STAKEHOLDER IMPACT

Pre-Merger Stakes

- Vistara: Tata Sons – 51%, Singapore Airlines (SIA) – 49%
- Air India: 100% owned by Tata Sons (via Talace Pvt Ltd)

Post-Merger Shareholding

- Tata Sons Pvt Ltd – 73.8%
- Singapore Airlines Ltd (SIA) – 25.1%
- SBICAP Trustee Co. – 1.52% (linked to ESOP/trust)



How 25.1% for SIA Was Calculated

- SIA contributed:
  - Its 49% stake in Vistara
  - ₹2,058.5 crore (~$248M) immediate cash injection into Air India
  - Commitment of up to ₹5,020 crore for future recapitalization
  - SIA Value Creation: SIA booked S$1.1 billion (~$832M) non-cash gain for its post-merger stake.
- Share swap based on relative valuations of Vistara and Air India, plus new equity issuance
- Ownership ratio structured to:
  - Give Tata clear majority control
  - Ensure SIA retains strategic influence & board representation

Impacts:

Strategic Shareholding Rationale

- Tata Sons retains decisive control while partnering with a global aviation leader
- SIA secures direct access to India's fast-growing aviation market without majority ownership risk
- Capital strength post-merger supports:
  - Fleet modernization
  - Route expansion
  - Brand unification
  - Network integration with SIA for codeshares & global connectivity

Employees

- 23,000+ employees across the combined entity; ~600 non-flying staff impacted due to role overlaps and streamlining
- Mitigation: Voluntary Separation Scheme (VSS) offered to affected staff, plus redeployment and upskilling opportunities within Tata Group.
- Workforce harmonization: Pay scales, grades, and processes aligned between airlines; fitment based on merit and experience.
- Pilot retirement age now uniformly set at 65 years post-merger for consistency and retention.

Customers

- Network Access: Expanded route map and improved connectivity through unified operations.
- Loyalty Programs: Over 4.5 million Vistara loyalty members migrated to Air India's Maharaja Club with preserved points and perks.
- Service Upgrade: Vistara's premium service standards retained and merged into Air India's product; unified booking and check-in procedures.
- Short-term disruptions possible during transition, but commitment to seamless experience and clear passenger communication.

Regulators

- Key Approvals: Merger cleared by National Company Law Tribunal (NCLT), Competition Commission of India (CCI), and Singapore's CCCS, each placing conditions to prevent anti-competitive risks.
- Oversight: Regulatory authorities focused on ensuring consumer protection, fair competition, operational safety, and licensing compliance.
- Seamless Operations: Operating manuals and regulations harmonized across Tata Group airlines for regulatory consistency.

AIR INDIA AND ITS COMPETITORS

Pre-Merger vs Post-Merger Performance

- Revenue: Post-merger revenue reached ₹78,636 crore, near market leader IndiGo's ₹84,098 crore in FY25.
- Profitability: Despite revenue growth, the merger entity posted a net loss of ₹10,859 crore due mainly to integration and transformation expenses.
- Standalone Air India: Revenue ₹61,080 crore with a net loss of ₹3,976 crore pre-merger consolidation.
- Passenger Growth: 44 million passengers transported in FY25, up ~10% year-on-year growth.
- Cost Synergies: Annual cost savings estimated at ₹500 crore initially, targeting ₹1,800 crore by FY27.

Market Position & Fleet

- One of largest international full-service carrier and second-largest domestic airline in India.
- Operating a combined fleet of ~218 aircraft, compared to IndiGo's ~330 aircraft.

Metric	Air India Group (Post-Merger FY25)	IndiGo (FY25)	Singapore Airlines (FY25)	Emirates (2025 Estimate)
Revenue (in crore)	78,636 crore	84,098 crore	USD 14.72 billion (~1.23 lakh crore)	USD ~30 billion
Net Profit/Loss	-10,859 crore (loss)	7,253 crore (profit)	USD 1.63 billion (profit)	Profitable
Fleet Size	~218 aircraft	~330 aircraft	~140 aircraft	>250 aircraft
Passenger Volume (million)	44 million	65 million+	~38 million	~60 million+

APPENDIX

- Wlikipedia
- Tofler
- NDTV Profit
- Air India Annual Reports
- Tata sons Annual Reports
- SIA Annual Reports
- SIA merger press release

Thank You

Team vaibhavisomra

Manit Mehta | Ishan Boral | Vaibhavi Somra | Shubham Chandrakar